T-12 OPERATING STATEMENT

Indigo Apartments | Pittsburgh, PA

Property	Indigo Apartments
Period Ending	December 2, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	255 apartment homes

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	314,381	330,340	352,316	342,528	326,172	331,391	338,106	344,926	317,789	344,630	323,948	338,948	4,005,475
4010 Loss to Lease	124,126	128,944	127,397	119,929	126,931	118,143	123,976	121,800	116,216	122,692	113,400	112,675	1,456,229
4020 Vacancy Loss	174,344	189,293	171,024	185,267	171,533	176,209	183,804	183,684	169,627	183,571	169,865	165,937	2,124,159
4030 Concessions	292,885	272,505	298,434	288,960	303,639	296,161	295,144	288,051	300,183	284,941	282,922	292,004	3,495,830
4040 Bad Debt	246,760	266,500	268,937	246,825	249,416	268,997	278,336	257,850	245,513	270,834	263,055	265,673	3,128,697
4050 Late Fees	196,743	203,028	185,709	195,710	198,985	210,941	185,689	209,475	190,908	194,102	203,357	190,170	2,364,816
4060 Utility Reimbursements	94,666	99,057	94,267	101,553	99,147	93,477	97,826	95,528	101,280	92,855	99,406	90,049	1,159,112
4070 Parking Income	90,857	91,536	83,762	90,919	82,737	83,085	91,788	93,764	91,948	90,574	92,973	88,398	1,072,339
4080 Application Fees	276,420	261,090	277,394	261,182	267,446	263,612	259,657	255,641	272,411	284,091	281,795	252,299	3,213,038
4090 Pet Rent	16,690	15,881	16,690	16,662	17,637	17,626	16,085	15,588	15,836	16,353	16,949	16,937	198,933
4100 Laundry Income	179,773	181,882	166,602	169,498	169,689	185,960	169,640	168,642	176,844	181,726	175,554	178,035	2,103,843
4110 Cable/Internet Revenue	178,286	194,083	176,775	177,922	186,665	181,067	195,468	176,079	193,029	188,691	181,605	182,942	2,212,612
4120 CAM Reimbursements	277,710	273,633	260,980	264,486	269,070	246,356	266,705	274,695	265,100	268,397	259,322	264,717	3,191,171
4130 Tax Reimbursements	116,299	113,477	122,094	113,066	122,478	123,758	122,052	119,227	118,170	115,078	118,163	110,921	1,414,783
4140 Insurance Reimbursemen	268,481	293,692	289,356	306,680	272,973	291,805	278,245	287,235	281,408	273,058	305,501	287,180	3,435,615
4150 Percentage Rent	228,119	227,212	237,829	243,143	232,149	245,637	234,539	234,719	236,383	241,235	220,546	229,199	2,810,711
4160 Misc. Income	12,776	12,881	14,213	14,125	13,529	13,954	13,296	12,726	14,214	13,191	14,016	14,280	163,200
4170 Payroll - Management	19,311	18,484	17,909	19,191	18,587	18,392	17,566	17,866	17,646	18,131	17,484	17,702	218,268
4180 Payroll - Leasing	19,599	22,233	21,429	21,899	20,928	21,240	21,900	21,853	20,269	19,870	19,899	19,963	251,082
4190 Payroll - Maintenance	19,896	19,717	20,395	19,372	19,548	20,718	21,606	21,017	20,582	21,634	21,515	19,392	245,391
4200 Payroll Taxes & Benefits	5,986	6,701	6,535	6,505	6,573	6,701	6,274	6,145	6,344	6,464	6,584	6,556	77,366
4210 Repairs - Plumbing	22,031	22,247	21,540	21,614	22,854	22,137	21,053	22,678	22,839	22,047	20,023	20,859	261,924
4220 Repairs - HVAC	19,617	22,072	20,069	19,775	20,863	19,769	20,232	20,147	19,905	21,496	21,292	19,313	244,551
4230 Repairs - Electrical	27,388	28,043	28,828	27,247	29,228	28,151	25,847	29,517	28,563	27,539	27,124	28,895	336,371

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4450 Licenses & Permits	4,862	4,955	4,993	4,391	4,956	5,008	4,997	4,524	4,480	4,871	4,735	4,745	57,519
4460 Management Fee	14,498	15,450	14,151	14,827	15,457	14,311	14,563	14,246	14,479	16,092	15,472	15,645	179,189
4470 Property Insurance	41,232	41,259	41,059	41,067	40,916	37,927	39,368	40,952	37,709	39,813	41,814	40,303	483,419
4480 Real Estate Taxes	26,345	26,500	27,262	24,230	25,048	25,547	26,721	25,864	24,861	26,960	27,361	25,385	312,082
4490 Asset Management Fee	16,249	17,741	17,588	16,433	17,005	18,101	17,341	16,790	17,783	18,574	17,889	16,550	208,044
4500 Replacement Reserves	13,072	12,477	11,661	12,149	12,587	13,066	12,953	12,192	12,289	12,788	11,670	12,232	149,136
4510 Roof Repairs	8,423	8,271	8,001	7,641	7,371	8,277	8,361	7,396	7,645	8,239	7,451	7,669	94,746
4520 Parking Lot Repairs	21,657	23,475	21,633	22,024	21,613	21,600	23,386	20,793	20,886	23,547	22,053	23,769	266,436
4530 Signage	6,446	6,576	6,694	6,733	6,336	6,708	5,882	5,928	5,931	6,470	6,367	6,089	76,162
4540 Tenant Improvements	31,710	31,062	29,136	30,615	29,767	29,583	32,822	31,721	32,147	30,116	33,178	32,432	374,287
4550 Leasing Commissions	7,683	7,602	7,490	7,153	7,454	7,416	7,755	7,338	7,047	7,433	7,177	7,167	88,716
4000 Gross Potential Rent	333,292	352,072	348,465	321,574	335,393	321,844	338,748	345,583	322,048	324,395	319,138	334,191	3,996,743
4010 Loss to Lease	48,635	49,887	51,013	49,320	49,629	49,600	50,798	51,903	49,396	45,426	48,470	47,521	591,597
4020 Vacancy Loss	163,085	167,884	169,759	171,196	161,367	167,255	165,784	157,765	164,589	163,701	164,965	166,452	1,983,803
4030 Concessions	27,536	28,242	27,731	27,801	26,607	27,222	25,571	25,264	26,335	25,153	25,723	25,296	318,481
4040 Bad Debt	112,717	115,546	107,837	117,680	110,288	109,161	120,368	108,938	105,554	116,099	104,841	113,120	1,342,149
4050 Late Fees	289,332	294,101	270,024	272,652	258,664	280,969	274,109	270,971	267,682	270,919	273,939	295,493	3,318,854
4060 Utility Reimbursements	172,189	190,988	192,110	173,166	186,283	182,833	185,044	192,339	176,164	196,596	190,227	194,555	2,232,495
4070 Parking Income	304,791	316,254	289,153	317,536	291,901	277,244	277,715	277,006	315,136	278,343	280,665	280,544	3,506,287
4080 Application Fees	97,784	99,076	105,988	102,848	100,699	104,479	103,608	101,045	109,603	102,465	99,306	104,285	1,231,184
4090 Pet Rent	138,567	130,609	144,816	128,583	140,511	127,449	131,774	128,219	132,377	128,084	140,631	133,357	1,604,976
4100 Laundry Income	75,115	77,597	68,017	73,993	69,924	68,257	74,908	69,368	71,782	69,722	72,410	71,052	862,145
4110 Cable/Internet Revenue	184,848	194,573	189,692	182,515	201,467	200,091	192,499	205,791	194,189	200,884	184,403	204,842	2,335,794
4120 CAM Reimbursements	91,031	89,312	90,881	84,485	84,946	82,609	81,043	84,120	85,300	80,717	86,168	85,807	1,026,417
4130 Tax Reimbursements	10,626	10,795	9,905	10,263	10,223	10,818	10,103	10,711	9,462	10,135	10,723	9,475	123,239
4140 Insurance Reimbursemen	269,224	255,440	280,734	246,473	276,388	276,333	272,827	249,934	246,127	266,112	252,659	274,946	3,167,197
4150 Percentage Rent	139,397	141,982	146,405	140,650	148,247	144,297	145,076	147,823	139,902	137,156	149,646	137,248	1,717,830
4160 Misc. Income	167,129	182,283	167,120	181,023	182,673	172,680	183,628	175,204	166,481	172,905	178,614	175,870	2,105,610
4170 Payroll - Management	33,055	35,990	34,061	33,478	35,924	36,826	37,269	33,836	37,619	34,859	34,623	34,577	422,115
4180 Payroll - Leasing	37,254	35,309	35,044	37,607	36,530	38,103	34,177	36,555	35,373	37,099	36,476	34,850	434,378
4190 Payroll - Maintenance	13,871	13,919	15,282	15,185	14,269	15,610	14,460	15,646	15,585	15,566	14,944	15,074	179,411
4200 Payroll Taxes & Benefits	12,279	12,404	12,639	11,921	12,714	12,291	12,731	12,226	12,178	12,226	11,900	12,015	147,522
4210 Repairs - Plumbing	35,432	37,918	35,357	33,338	35,554	33,690	34,888	35,920	37,665	35,941	37,896	36,234	429,834
4220 Repairs - HVAC	26,983	28,903	27,757	28,976	28,856	30,219	29,126	28,565	28,501	26,787	29,774	29,869	344,315
4230 Repairs - Electrical	10,635	10,826	10,682	10,526	11,193	11,591	10,287	11,478	10,508	10,308	11,069	11,399	130,503
4240 Repairs - Appliances	8,130	8,583	8,523	7,682	8,595	7,831	8,822	8,532	8,494	7,691	8,111	8,313	99,309
4250 Painting & Decorating	5,016	5,232	5,105	5,267	5,314	5,370	5,437	5,081	5,333	4,833	5,310	5,236	62,535
4260 Flooring	26,649	28,067	26,725	25,848	27,207	26,241	28,159	27,542	26,124	28,059	28,978	27,648	327,246
4270 Make-Ready / Turnover	6,874	7,129	6,495	6,712	7,397	6,853	7,086	6,665	6,975	7,131	6,973	6,999	83,289
4280 Landscaping Contract	37,220	34,954	34,979	36,305	36,268	33,851	34,341	37,220	35,287	37,549	35,708	36,058	429,738
4290 Snow Removal	34,154	33,979	30,749	34,435	33,468	30,877	34,142	31,969	34,731	34,883	32,486	33,898	399,772
4300 Janitorial	37,076	36,301	34,799	36,086	37,399	37,666	38,599	37,150	36,055	37,510	37,704	38,569	444,914
4310 Pest Control	19,314	19,591	18,005	19,343	17,915	19,003	18,256	18,012	18,726	20,157	18,438	20,348	227,107
4320 Trash Removal	40,696	36,307	40,534	40,177	37,368	41,321	37,224	36,948	40,653	38,316	37,133	37,736	464,413
4330 Elevator Contract	19,749	18,251	20,163	18,334	19,078	18,326	19,004	18,853	20,240	19,887	19,705	19,293	230,882

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Financial Analysis

Debt service coverage ratio was 5.03x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $345,000, representing a 3.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Operating expenses totaled $48,000 or approximately 14.33 per square foot, with real estate taxes representing the largest line item.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Service requests are tracked through a work-order system with an average completion time of 45 hours. Resident turnover has averaged 7.0% annually with renewal retention above 91.0%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 93.1% of billed charges, with bad debt of 7.5% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Collections for the period were 92.0% of billed charges, with bad debt of 6.3% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Income and Expense Review

Resident turnover has averaged 13.8% annually with renewal retention above 90.2%. The going-in capitalization rate of 6.45% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Effective gross income for the trailing period was $74,000, representing a 8.2% increase over the prior year.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Resident turnover has averaged 5.2% annually with renewal retention above 90.9%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 20 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 21th business day. Collections for the period were 95.1% of billed charges, with bad debt of 4.1% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4320 Trash Removal	7,918	7,947	7,543	7,253	7,932	7,533	7,804	7,950	7,922	7,407	7,697	7,970	92,876
4330 Elevator Contract	32,136	36,362	32,252	34,831	33,583	33,650	35,323	33,901	34,878	32,150	32,386	32,770	404,220
4340 Fire & Life Safety	6,594	6,637	6,409	6,469	7,025	7,236	7,109	6,426	6,754	7,193	6,530	7,067	81,448
4350 Security	28,073	27,947	26,466	27,917	28,617	25,751	26,746	25,853	26,656	26,838	29,134	27,002	327,000
4360 Electricity - Common	17,944	19,059	19,906	19,521	18,704	19,665	19,029	17,669	18,511	19,412	17,736	19,103	226,259
4370 Gas - Common	7,165	6,652	6,456	6,685	6,467	6,630	6,871	7,072	6,877	6,402	6,816	6,688	80,780
4380 Water & Sewer	30,202	32,525	30,464	32,752	30,356	33,807	32,467	30,982	31,641	32,792	30,835	32,125	380,948
4390 Telephone/Internet	3,637	3,473	3,582	3,459	3,781	3,814	3,747	3,888	3,796	3,683	3,633	3,834	44,326
4400 Advertising	6,675	7,129	6,289	6,590	6,973	6,662	6,594	6,585	6,490	6,864	7,129	6,444	80,424
4410 Resident Events	39,629	38,103	41,254	38,455	38,248	37,897	40,010	40,737	40,711	36,860	42,050	37,383	471,337
4420 Office Supplies	16,684	17,607	17,873	16,846	16,175	16,230	17,561	17,834	15,905	15,868	16,534	16,358	201,476
4430 Legal & Professional	28,632	27,274	29,370	29,052	29,023	25,761	27,004	25,635	25,786	28,650	29,289	28,500	333,978
4440 Accounting & Audit	10,499	9,458	10,769	9,896	9,941	10,216	9,654	10,179	10,173	10,289	10,647	9,760	121,481
4450 Licenses & Permits	8,950	9,126	9,514	9,574	9,778	9,677	9,997	9,459	9,909	9,439	9,541	9,458	114,422
4460 Management Fee	7,626	7,407	7,656	8,072	8,081	7,029	7,176	7,444	7,963	7,088	7,181	7,429	90,153
4470 Property Insurance	14,925	14,701	15,104	13,678	14,193	13,933	14,754	14,294	13,911	14,626	13,652	13,915	171,686
4480 Real Estate Taxes	22,212	22,411	22,360	22,421	21,225	22,913	21,630	21,905	21,546	21,982	22,638	21,118	264,362
4490 Asset Management Fee	36,973	41,178	40,768	39,955	38,707	41,097	39,940	38,399	39,919	38,968	38,702	36,869	471,475
4500 Replacement Reserves	20,713	19,977	19,778	20,863	20,400	18,733	20,595	19,080	19,721	20,172	18,539	20,960	239,532
4510 Roof Repairs	18,015	18,145	17,887	19,479	18,909	17,776	19,983	19,261	19,769	19,329	17,637	18,400	224,591
4520 Parking Lot Repairs	15,564	14,824	15,620	14,446	15,638	14,793	15,743	14,817	15,554	15,346	16,394	15,834	184,572
4530 Signage	11,578	12,162	12,486	12,962	12,777	12,859	12,286	12,838	12,239	12,284	11,415	11,679	147,565
4540 Tenant Improvements	28,070	26,975	30,579	28,727	28,917	30,378	29,070	28,063	28,473	28,006	27,633	26,630	341,519
4550 Leasing Commissions	18,563	16,426	17,730	16,450	18,221	18,013	17,497	18,237	17,771	18,410	17,368	16,306	210,993
4000 Gross Potential Rent	331,231	355,724	353,372	351,569	342,365	327,631	353,797	345,122	347,293	333,239	355,085	324,369	4,120,796
4010 Loss to Lease	273,772	303,940	304,516	273,247	281,272	295,147	301,398	266,507	290,103	290,957	274,075	272,849	3,427,783
4020 Vacancy Loss	35,924	35,826	34,485	34,796	34,827	34,802	33,773	32,655	34,656	36,484	36,457	35,290	419,974
4030 Concessions	37,199	32,781	37,502	35,922	35,530	33,068	36,989	34,062	36,474	37,002	35,526	34,518	426,573
4040 Bad Debt	313,068	310,603	307,105	307,792	305,165	307,612	293,883	289,359	284,627	323,249	318,080	295,669	3,656,211
4050 Late Fees	288,500	261,712	253,709	285,290	255,114	255,004	289,522	253,369	286,688	287,196	271,933	282,276	3,270,314
4060 Utility Reimbursements	61,114	67,710	61,144	67,461	64,077	66,032	66,178	60,703	64,951	61,926	64,563	66,415	772,274
4070 Parking Income	171,703	151,211	165,410	150,837	162,477	154,442	161,542	166,665	155,273	162,403	153,286	171,162	1,926,412
4080 Application Fees	139,233	134,018	143,677	143,310	140,488	125,998	125,757	135,362	125,654	132,308	130,813	136,842	1,613,459
4090 Pet Rent	203,677	187,065	200,398	209,219	200,494	195,547	187,540	203,194	208,003	192,064	191,745	197,582	2,376,529
4100 Laundry Income	227,093	226,874	228,257	246,290	241,998	247,973	257,171	255,538	226,811	242,535	241,151	230,687	2,872,379
4110 Cable/Internet Revenue	113,550	111,105	109,327	122,283	116,471	117,883	122,369	109,465	120,330	122,321	120,692	115,087	1,400,881
4120 CAM Reimbursements	12,891	11,371	12,091	12,848	12,537	12,662	12,057	12,861	11,413	11,870	11,478	11,501	145,580
4130 Tax Reimbursements	189,843	179,184	186,897	170,606	188,919	167,024	168,542	167,634	179,899	188,918	175,244	186,996	2,149,706
4140 Insurance Reimbursemen	256,093	257,599	258,681	255,372	252,018	255,971	266,513	264,699	250,288	275,610	261,293	247,780	3,101,917
4150 Percentage Rent	300,576	278,235	280,492	299,194	298,975	284,909	293,640	284,844	267,938	297,153	298,189	277,539	3,461,685
4160 Misc. Income	83,696	86,439	89,240	82,929	86,555	84,837	88,245	86,381	84,346	89,587	91,147	82,388	1,035,791
4170 Payroll - Management	7,006	6,779	6,846	7,683	6,952	6,827	7,295	7,047	7,009	7,217	6,822	7,745	85,227
4180 Payroll - Leasing	11,111	10,903	11,784	11,173	12,032	11,120	10,945	11,179	11,482	11,509	11,040	11,158	135,436
4190 Payroll - Maintenance	35,486	36,657	32,940	35,855	33,611	33,263	35,187	37,157	35,425	35,433	33,616	35,743	420,373

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Financial Analysis

Effective gross income for the trailing period was $160,000, representing a 4.5% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 7.06% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $177,000 or approximately 21.78 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $84,000 or approximately 10.24 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.23% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Resident turnover has averaged 3.1% annually with renewal retention above 90.6%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 10 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Resident turnover has averaged 3.7% annually with renewal retention above 95.0%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members.

Income and Expense Review

Resident turnover has averaged 9.4% annually with renewal retention above 95.1%. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The going-in capitalization rate of 8.00% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.08x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 8.16x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

Resident turnover has averaged 12.1% annually with renewal retention above 93.6%. Service requests are tracked through a work-order system with an average completion time of 10 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Service requests are tracked through a work-order system with an average completion time of 41 hours. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Financial Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 7.25x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Operating expenses totaled $165,000 or approximately 8.58 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $432,000, representing a 11.9% increase over the prior year.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4260 Flooring	37,142	38,198	38,806	37,403	35,584	35,101	38,389	34,623	37,422	34,222	38,628	38,945	444,463
4270 Make-Ready / Turnover	9,035	8,998	8,925	8,619	9,159	8,568	9,287	8,674	9,018	8,247	8,567	9,326	106,424
4280 Landscaping Contract	4,411	4,353	4,163	3,865	3,947	4,036	3,957	3,867	3,946	4,284	4,115	4,385	49,330
4290 Snow Removal	14,860	15,338	14,981	14,547	16,593	15,147	14,762	16,176	14,574	14,705	15,787	15,895	183,365
4300 Janitorial	19,067	19,213	19,340	19,690	19,447	19,880	20,624	19,033	19,980	20,657	19,612	19,872	236,415
4310 Pest Control	31,295	32,725	35,158	32,841	34,642	35,807	31,995	35,572	33,782	35,757	34,586	32,940	407,100
4320 Trash Removal	29,067	28,100	30,802	29,629	28,297	30,899	28,507	30,806	30,025	31,652	30,483	31,104	359,369
4330 Elevator Contract	15,022	15,869	15,134	15,538	15,967	15,919	16,271	16,137	15,967	16,665	15,209	15,532	189,231
4340 Fire & Life Safety	37,311	36,561	35,081	33,957	35,035	37,338	37,226	37,054	35,274	37,170	34,305	36,595	432,907
4350 Security	28,608	30,837	28,675	28,594	29,977	29,612	30,747	29,740	29,218	30,102	31,355	29,195	356,660
4360 Electricity - Common	21,245	20,122	20,316	19,646	21,383	19,804	20,797	19,805	19,816	20,405	21,257	20,926	245,522
4370 Gas - Common	24,767	28,012	27,496	27,032	26,888	24,721	24,835	28,216	27,247	27,466	27,298	24,965	318,943
4380 Water & Sewer	24,290	23,670	24,291	23,913	24,684	25,809	25,932	24,113	26,136	25,447	23,353	22,942	294,578
4390 Telephone/Internet	23,434	25,386	23,921	24,788	26,300	24,041	23,989	23,680	24,203	26,193	26,154	25,276	297,366
4400 Advertising	19,739	18,582	18,812	18,829	20,099	18,848	19,428	19,786	19,197	20,432	18,968	18,012	230,731
4410 Resident Events	12,593	12,367	12,562	11,736	11,564	12,259	12,320	12,531	11,697	12,721	12,594	12,357	147,302
4420 Office Supplies	29,632	32,096	30,174	29,324	29,197	30,825	29,150	30,770	29,451	31,494	31,228	32,293	365,633
4430 Legal & Professional	13,108	13,532	13,522	13,490	14,413	14,647	14,196	13,635	13,372	13,178	13,808	13,842	164,744
4440 Accounting & Audit	15,648	15,475	16,667	16,164	15,894	15,758	17,390	16,713	17,410	17,133	15,809	16,884	196,946
4450 Licenses & Permits	7,835	7,624	7,087	7,620	7,334	7,343	7,232	7,057	7,129	7,640	7,323	6,997	88,221
4460 Management Fee	11,232	10,455	10,293	10,859	10,655	10,419	11,084	11,690	11,665	11,395	11,030	11,505	132,282
4470 Property Insurance	12,371	12,932	13,393	13,091	13,676	13,333	13,670	13,065	12,868	13,063	12,766	12,603	156,831
4480 Real Estate Taxes	31,283	29,515	31,399	29,856	33,126	33,668	31,863	31,888	30,271	32,566	31,812	31,672	378,919
4490 Asset Management Fee	13,180	14,420	13,111	14,299	13,660	13,416	13,302	13,158	13,810	13,621	13,186	13,043	162,209
4500 Replacement Reserves	29,553	28,918	30,833	29,468	28,496	28,334	28,301	29,870	30,608	28,196	29,362	27,166	349,104
4510 Roof Repairs	9,291	10,180	10,282	9,734	9,388	10,424	9,572	9,370	9,349	9,936	10,386	9,511	117,424
4520 Parking Lot Repairs	20,112	19,704	19,188	20,442	20,411	18,688	18,269	18,315	19,691	19,394	20,674	19,369	234,256
4530 Signage	20,268	20,806	18,950	19,566	21,000	19,363	18,523	20,003	20,224	18,780	18,704	20,899	237,087
4540 Tenant Improvements	22,201	22,079	23,543	21,788	24,134	23,297	21,661	22,743	23,038	21,500	24,289	24,214	274,489
4550 Leasing Commissions	34,778	35,845	33,281	35,738	34,718	35,666	33,877	33,216	33,885	35,943	34,980	32,535	414,461
4000 Gross Potential Rent	317,278	345,177	342,081	352,929	333,183	325,161	327,342	325,777	359,821	313,735	345,553	322,439	4,010,478
4010 Loss to Lease	115,487	110,040	115,413	107,862	111,679	116,256	115,412	112,610	104,823	104,569	118,348	104,694	1,337,193
4020 Vacancy Loss	86,290	88,140	77,777	81,909	87,347	86,348	83,096	83,719	84,693	79,050	78,890	77,718	994,978
4030 Concessions	61,614	59,687	58,521	58,878	55,232	56,748	62,119	55,546	59,895	62,171	58,826	59,122	708,359
4040 Bad Debt	89,993	83,651	89,789	87,473	86,773	90,892	81,194	85,323	84,170	85,794	85,615	86,061	1,036,727
4050 Late Fees	206,707	217,836	221,630	205,870	211,620	208,017	203,435	197,057	217,799	206,837	219,334	195,869	2,512,010
4060 Utility Reimbursements	107,993	103,860	104,285	105,815	98,988	111,872	109,710	106,181	107,852	100,875	107,015	98,420	1,262,866
4070 Parking Income	233,585	236,769	228,393	234,584	240,130	234,636	242,947	232,708	243,424	222,583	226,541	223,186	2,799,486
4080 Application Fees	96,732	97,704	99,633	99,526	89,760	95,831	93,780	96,809	92,035	87,411	94,854	93,158	1,137,231
4090 Pet Rent	44,976	45,159	46,316	46,336	50,967	44,935	48,701	48,899	49,716	46,001	50,223	49,283	571,511
4100 Laundry Income	98,606	96,375	103,639	102,244	98,871	95,113	93,448	99,425	96,294	95,531	96,140	101,402	1,177,087
4110 Cable/Internet Revenue	87,615	86,804	90,587	91,286	88,149	89,354	93,820	91,710	92,941	85,733	87,767	92,632	1,078,400
4120 CAM Reimbursements	21,603	22,675	22,159	23,848	22,157	22,832	21,606	22,228	21,370	21,266	22,970	21,724	266,439
4130 Tax Reimbursements	27,972	27,621	27,063	27,711	25,570	27,401	26,229	25,575	28,773	27,342	27,197	28,348	326,801
4140 Insurance Reimbursemen	120,950	125,864	135,313	129,557	128,530	132,987	129,685	137,378	130,798	132,191	131,299	136,856	1,571,406
4150 Percentage Rent	29,604	32,242	33,535	29,596	30,063	32,623	32,901	29,517	33,191	32,636	32,463	30,611	378,982

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Operating Performance

Resident turnover has averaged 3.0% annually with renewal retention above 88.9%. The going-in capitalization rate of 7.40% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Effective gross income for the trailing period was $433,000, representing a 5.9% increase over the prior year. Operating expenses totaled $53,000 or approximately 27.28 per square foot, with real estate taxes representing the largest line item.

Resident turnover has averaged 9.6% annually with renewal retention above 89.5%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $96,000, representing a 13.2% increase over the prior year. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Property Operations

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 95.9% of billed charges, with bad debt of 7.0% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Collections for the period were 90.8% of billed charges, with bad debt of 4.1% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $161,000, representing a 8.6% increase over the prior year. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

Resident turnover has averaged 4.3% annually with renewal retention above 92.9%. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Operating expenses totaled $179,000 or approximately 26.75 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 27 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 90.0% of billed charges, with bad debt of 6.4% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day.

Valuation Discussion

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4160 Misc. Income	180,827	187,116	186,751	171,499	176,930	179,253	169,962	172,982	170,532	177,830	185,283	174,037	2,133,001
4170 Payroll - Management	22,886	20,582	21,529	22,575	20,221	20,411	22,509	21,909	22,656	20,346	20,839	22,828	259,291
4180 Payroll - Leasing	19,503	21,594	20,980	21,783	19,660	19,467	19,544	19,380	21,170	20,541	19,353	19,812	242,786
4190 Payroll - Maintenance	4,723	4,711	4,622	4,822	4,412	4,565	4,458	4,490	4,425	4,768	4,910	4,674	55,582
4200 Payroll Taxes & Benefits	30,184	31,235	31,109	32,996	34,380	31,341	34,450	30,800	32,737	31,360	32,364	34,060	387,019
4210 Repairs - Plumbing	5,629	5,452	5,500	5,620	5,609	5,621	5,694	5,497	5,119	5,665	5,020	5,297	65,721
4220 Repairs - HVAC	39,259	41,162	37,928	39,039	39,668	41,543	38,073	41,373	39,972	39,119	39,444	40,302	476,882
4230 Repairs - Electrical	4,009	4,372	4,293	4,213	4,552	4,313	4,200	4,286	4,227	4,120	3,994	4,338	50,917
4240 Repairs - Appliances	15,464	15,011	15,403	15,198	15,266	15,657	14,751	15,714	15,486	15,090	13,987	14,816	181,844
4250 Painting & Decorating	9,248	8,423	9,181	8,767	8,442	8,923	9,346	8,829	8,961	8,956	8,740	9,611	107,426
4260 Flooring	6,131	6,208	6,271	5,909	6,101	6,048	5,914	6,299	6,041	6,623	5,951	6,222	73,718
4270 Make-Ready / Turnover	25,164	27,148	25,134	27,723	28,415	25,007	27,678	28,066	27,791	27,406	26,802	27,973	324,307
4280 Landscaping Contract	8,752	8,949	8,182	8,331	8,979	8,911	8,125	8,082	8,013	8,594	8,838	7,912	101,668
4290 Snow Removal	23,321	22,466	22,049	23,818	21,741	21,139	21,816	23,204	22,040	21,051	22,530	22,842	268,017
4300 Janitorial	19,951	19,999	19,923	22,581	21,681	20,831	20,280	20,657	20,870	22,115	22,832	22,196	253,917
4310 Pest Control	38,064	35,204	36,676	35,177	36,102	39,128	35,961	38,462	35,801	38,023	37,143	34,936	440,678
4320 Trash Removal	10,591	10,655	10,041	10,978	11,353	10,131	10,048	10,633	11,189	10,073	11,003	10,255	126,949
4330 Elevator Contract	10,515	10,232	10,187	9,559	9,903	10,724	10,226	10,344	10,248	10,428	10,771	9,947	123,084
4340 Fire & Life Safety	17,484	18,162	17,435	19,644	19,131	17,566	18,205	19,023	18,380	18,603	19,315	19,873	222,822
4350 Security	5,135	4,760	4,672	4,943	4,521	4,540	4,913	4,983	4,564	4,473	4,664	4,971	57,137
4360 Electricity - Common	22,925	23,139	22,861	21,330	20,977	20,916	22,459	22,468	23,321	21,250	20,667	21,519	263,834
4370 Gas - Common	20,508	20,563	20,114	21,589	22,241	20,919	22,756	21,863	22,566	21,806	22,506	19,977	257,408
4380 Water & Sewer	12,509	11,235	12,202	12,498	11,058	12,021	12,651	11,050	12,344	12,292	12,187	12,633	144,681
4390 Telephone/Internet	12,806	12,772	11,931	11,823	11,678	13,316	12,981	12,283	12,686	11,824	12,629	12,004	148,734
4400 Advertising	9,574	9,483	9,247	9,752	9,180	9,420	9,302	9,843	9,251	9,991	9,352	9,097	113,491
4410 Resident Events	22,523	24,147	24,394	23,495	23,700	23,777	23,726	22,216	22,500	23,638	24,318	22,444	280,878
4420 Office Supplies	5,472	5,269	5,379	5,856	5,665	5,782	5,767	5,868	5,225	5,620	5,518	5,966	67,387
4430 Legal & Professional	18,002	17,101	17,726	16,285	16,251	17,339	17,892	16,994	17,621	17,416	16,273	17,128	206,029
4440 Accounting & Audit	11,739	12,107	11,107	11,034	12,473	11,750	12,388	11,157	12,161	10,940	10,899	11,704	139,458
4450 Licenses & Permits	22,548	23,945	24,580	23,509	23,984	22,549	22,909	23,756	23,875	24,054	23,862	23,261	282,831
4460 Management Fee	12,044	12,332	12,162	11,352	11,945	10,945	11,534	11,131	11,425	12,304	11,933	11,641	140,747
4470 Property Insurance	23,716	22,891	22,744	23,462	24,698	23,471	22,714	25,174	23,651	22,985	26,048	24,816	286,370
4480 Real Estate Taxes	12,654	12,632	11,516	11,609	11,478	12,197	12,643	12,706	11,410	12,829	11,384	11,843	144,901
4490 Asset Management Fee	36,450	35,379	38,661	38,492	37,510	37,835	35,348	34,877	35,331	38,371	39,253	38,685	446,192
4500 Replacement Reserves	34,171	36,988	34,133	33,965	34,983	33,331	33,661	35,243	32,946	32,661	35,422	33,321	410,824
4510 Roof Repairs	13,800	14,729	14,290	14,273	15,023	15,032	13,607	14,050	13,424	14,044	14,712	13,510	170,495
4520 Parking Lot Repairs	33,500	31,902	34,484	34,299	33,770	33,069	35,020	36,042	34,627	36,480	33,146	33,780	410,120
4530 Signage	35,110	36,423	36,090	33,802	36,300	36,602	33,690	33,123	32,586	36,517	33,943	33,335	417,520
4540 Tenant Improvements	18,694	19,980	21,162	19,666	19,304	19,093	20,442	20,690	20,995	20,706	19,071	19,022	238,826
4550 Leasing Commissions	9,310	9,185	9,078	8,294	8,524	9,422	8,562	8,432	8,683	8,650	8,613	9,328	106,082
4000 Gross Potential Rent	355,470	332,906	349,424	357,789	345,911	357,248	348,101	350,181	340,237	339,384	318,114	315,189	4,109,954
4010 Loss to Lease	156,972	148,741	152,795	138,143	154,119	152,991	150,745	140,962	157,506	144,860	144,794	142,147	1,784,775
4020 Vacancy Loss	105,966	117,177	111,153	117,655	109,430	108,090	117,158	109,587	114,464	105,619	110,743	110,933	1,337,976
4030 Concessions	117,551	115,440	120,499	115,028	111,864	108,115	111,669	116,450	108,751	118,866	108,162	112,294	1,364,690
4040 Bad Debt	226,901	229,660	219,190	227,935	221,907	240,639	246,392	237,578	221,160	234,011	224,157	237,557	2,767,086
4050 Late Fees	75,967	73,109	76,573	74,894	78,856	78,534	75,167	76,488	71,748	72,777	74,828	75,777	904,719

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Income and Expense Review

Effective gross income for the trailing period was $217,000, representing a 11.8% increase over the prior year. The going-in capitalization rate of 6.87% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 8.16x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.6% annually with renewal retention above 88.5%. Effective gross income for the trailing period was $240,000, representing a 13.5% increase over the prior year.

Management Commentary

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Service requests are tracked through a work-order system with an average completion time of 26 hours.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 6.9% annually with renewal retention above 93.4%.

Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Effective gross income for the trailing period was $346,000, representing a 4.2% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $89,000, representing a 9.1% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The going-in capitalization rate of 5.46% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Collections for the period were 92.8% of billed charges, with bad debt of 3.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 47 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 11.7% annually with renewal retention above 92.4%. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Operating Performance

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4110 Cable/Internet Revenue	142,113	135,929	134,087	142,053	128,444	130,742	125,640	127,104	142,360	133,852	140,309	126,502	1,609,135
4120 CAM Reimbursements	12,159	12,203	12,165	12,059	11,370	12,273	13,039	11,650	12,112	12,746	12,832	11,882	146,490
4130 Tax Reimbursements	266,378	277,882	243,919	262,312	271,970	265,067	253,503	250,948	256,850	249,200	261,153	275,675	3,134,855
4140 Insurance Reimbursemen	218,571	226,123	220,106	215,115	214,133	201,682	218,787	228,226	202,253	205,222	227,905	219,675	2,597,798
4150 Percentage Rent	111,552	106,588	106,596	110,100	119,357	118,663	115,197	111,827	110,621	110,192	118,152	108,671	1,347,517
4160 Misc. Income	243,417	247,991	233,344	247,379	239,052	246,264	235,313	222,511	219,321	231,826	245,051	245,719	2,857,187
4170 Payroll - Management	17,596	17,108	18,662	17,647	16,377	17,806	18,569	17,276	17,119	18,433	17,239	18,349	212,182
4180 Payroll - Leasing	28,455	25,692	27,601	27,298	25,385	26,257	25,724	27,961	26,318	27,779	25,993	28,535	322,996
4190 Payroll - Maintenance	31,132	30,676	27,844	27,657	28,149	30,126	28,425	29,111	31,070	30,802	28,887	27,928	351,809
4200 Payroll Taxes & Benefits	11,466	12,476	12,253	11,988	10,909	11,641	11,858	11,168	11,134	11,876	12,281	11,519	140,568
4210 Repairs - Plumbing	37,358	36,971	37,589	39,983	39,862	40,468	39,450	37,216	35,737	40,322	38,396	37,745	461,097
4220 Repairs - HVAC	10,836	10,793	10,550	9,953	10,657	10,458	9,874	10,091	10,192	9,583	10,108	9,807	122,902
4230 Repairs - Electrical	28,428	32,441	28,539	30,340	28,990	28,508	29,415	29,911	31,701	28,494	30,292	32,222	359,282
4240 Repairs - Appliances	31,159	34,216	31,394	31,950	34,548	35,409	34,400	32,503	33,139	34,417	32,724	30,971	396,830
4250 Painting & Decorating	29,127	26,999	29,713	29,230	29,057	27,756	29,714	28,251	29,151	27,825	27,229	30,364	344,415
4260 Flooring	30,260	33,341	32,864	33,788	31,769	33,147	32,717	33,326	30,960	34,042	32,045	33,550	391,809
4270 Make-Ready / Turnover	14,260	14,302	12,949	12,941	13,180	13,141	13,767	14,294	13,583	12,636	13,260	13,864	162,177
4280 Landscaping Contract	25,141	24,608	25,695	27,049	23,965	24,563	25,129	23,860	25,525	25,015	24,183	24,759	299,490
4290 Snow Removal	12,096	12,614	12,476	12,079	12,089	12,875	12,352	12,881	13,232	13,661	12,352	12,218	150,924
4300 Janitorial	5,874	6,162	6,262	6,213	5,550	6,323	5,845	6,017	5,669	6,275	5,920	6,270	72,382
4310 Pest Control	38,736	33,931	36,266	33,890	34,540	37,688	36,194	37,090	34,213	36,608	35,082	37,792	432,031
4320 Trash Removal	14,845	12,958	13,480	13,721	14,606	13,571	13,915	14,335	13,552	14,208	13,349	14,363	166,903
4330 Elevator Contract	41,467	41,037	37,812	42,310	42,355	38,566	39,690	37,457	40,030	39,598	42,191	40,207	482,721
4340 Fire & Life Safety	21,049	19,753	20,894	21,307	20,622	19,232	19,841	20,794	21,043	20,051	21,780	20,510	246,878
4350 Security	8,911	8,415	8,772	8,853	8,896	8,857	8,533	8,407	8,596	8,207	7,989	8,415	102,851
4360 Electricity - Common	20,973	19,657	19,358	19,467	21,044	19,252	20,638	20,622	19,557	19,399	21,056	20,538	241,562
4370 Gas - Common	9,646	9,417	9,217	10,006	9,199	9,774	8,965	9,406	9,508	9,725	9,913	9,170	113,948
4380 Water & Sewer	14,945	15,149	15,234	16,728	15,390	16,860	15,368	15,893	16,869	15,495	15,485	16,422	189,840
4390 Telephone/Internet	6,961	7,085	7,098	7,099	7,016	7,145	6,568	6,593	7,197	6,655	7,033	7,001	83,449
4400 Advertising	39,967	37,522	35,409	38,180	37,057	38,323	40,021	36,438	37,332	35,444	39,838	38,055	453,586
4410 Resident Events	39,293	37,845	34,640	36,494	38,838	39,098	34,798	35,383	35,344	35,492	39,007	36,546	442,777
4420 Office Supplies	30,872	30,928	30,173	33,393	29,578	29,334	33,315	31,690	30,731	31,470	32,756	30,340	374,581
4430 Legal & Professional	13,960	13,961	14,773	13,992	15,197	15,336	15,105	13,903	14,842	14,866	14,266	14,246	174,448
4440 Accounting & Audit	9,500	8,315	8,683	9,466	8,531	9,114	9,508	9,260	8,888	9,138	9,003	9,428	108,834
4450 Licenses & Permits	11,473	10,343	11,061	10,562	11,092	11,209	10,604	10,776	10,970	11,476	10,199	10,431	130,195
4460 Management Fee	32,437	30,363	28,934	31,859	31,414	31,698	31,755	28,923	29,230	32,159	31,092	31,181	371,045
4470 Property Insurance	6,042	5,480	6,198	5,795	5,897	5,860	5,792	5,874	6,225	5,728	5,881	6,295	71,066
4480 Real Estate Taxes	23,807	22,549	24,436	22,637	22,932	23,793	23,093	24,933	24,838	25,729	24,073	24,659	287,479
4490 Asset Management Fee	4,742	5,018	4,718	5,178	4,917	5,185	5,042	5,197	4,823	5,369	4,814	4,734	59,738
4500 Replacement Reserves	33,432	35,638	32,257	34,007	35,069	33,554	35,713	33,589	33,215	35,737	32,251	34,506	408,968
4510 Roof Repairs	19,942	21,387	21,468	20,679	19,558	21,230	20,569	20,266	20,665	19,868	20,337	20,013	245,983
4520 Parking Lot Repairs	37,372	36,715	37,137	36,118	34,028	35,503	36,441	33,598	36,204	33,574	37,025	33,198	426,912
4530 Signage	41,397	38,388	40,606	41,081	40,392	38,932	37,580	38,743	39,057	37,173	36,035	38,767	468,150
4540 Tenant Improvements	29,707	31,000	32,286	32,677	32,256	30,603	31,285	29,200	30,249	29,517	29,750	30,434	368,964
4550 Leasing Commissions	33,520	31,040	31,571	32,455	30,996	32,383	31,110	29,996	31,779	30,001	29,920	30,460	375,230
4000 Gross Potential Rent	315,130	338,783	329,179	326,075	331,343	358,283	314,329	334,905	333,694	355,707	321,169	332,485	3,991,082
4010 Loss to Lease	8,572	7,863	8,396	8,035	7,572	8,460	7,541	7,707	8,554	8,307	7,772	7,699	96,478

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Operating Performance

Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.58% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 13.4% annually with renewal retention above 90.6%. Debt service coverage ratio was 6.94x on a trailing basis against a covenant minimum of 1.20x.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 5.8% annually with renewal retention above 89.1%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.0% of billed charges, with bad debt of 3.3% of gross potential income.

Operating Performance

Operating expenses totaled $393,000 or approximately 18.03 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Resident turnover has averaged 2.2% annually with renewal retention above 93.7%. Effective gross income for the trailing period was $434,000, representing a 6.1% increase over the prior year.

Operating expenses totaled $191,000 or approximately 45.95 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period.

Property Operations

Collections for the period were 93.1% of billed charges, with bad debt of 6.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Operating expenses totaled $71,000 or approximately 29.77 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $140,000, representing a 11.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Debt service coverage ratio was 8.12x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $412,000 or approximately 44.33 per square foot, with real estate taxes representing the largest line item.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4020 Vacancy Loss	11,666	11,721	11,713	11,419	11,394	11,267	11,943	11,799	10,932	11,854	12,233	11,611	139,551
4030 Concessions	221,694	210,964	227,801	225,463	224,189	236,193	213,042	231,368	220,268	208,926	223,469	215,589	2,658,968
4040 Bad Debt	246,620	260,864	239,269	260,681	236,862	236,750	237,018	239,638	257,037	253,165	268,119	262,528	2,998,552
4050 Late Fees	313,043	312,673	318,692	281,762	305,528	302,518	317,997	284,444	321,033	306,298	294,160	308,846	3,666,994
4060 Utility Reimbursements	117,251	118,784	120,394	120,371	118,943	116,754	109,076	109,937	111,175	118,784	110,645	113,955	1,386,070
4070 Parking Income	283,698	277,394	289,034	290,900	297,131	285,601	297,829	293,782	308,241	309,568	300,472	304,922	3,538,571
4080 Application Fees	209,115	202,399	209,272	221,818	224,603	203,336	203,653	218,821	213,736	220,317	224,483	207,090	2,558,642
4090 Pet Rent	172,301	171,104	169,950	173,987	165,184	177,556	184,843	166,073	177,297	165,497	182,601	178,280	2,084,673
4100 Laundry Income	80,711	80,547	77,953	81,649	82,988	83,135	80,384	77,308	82,104	75,018	83,567	77,884	963,249
4110 Cable/Internet Revenue	258,300	248,188	260,102	259,896	239,366	248,827	235,795	242,259	240,986	257,098	258,338	256,863	3,006,018
4120 CAM Reimbursements	99,477	102,433	98,338	109,141	110,116	103,673	106,090	106,356	98,687	98,380	96,747	101,233	1,230,668
4130 Tax Reimbursements	167,346	156,705	161,389	148,669	161,459	161,673	156,366	150,506	151,469	163,272	154,681	158,651	1,892,186
4140 Insurance Reimbursemen	22,927	25,171	23,146	22,563	24,853	24,725	23,158	22,341	24,720	23,599	24,293	22,744	284,241
4150 Percentage Rent	224,827	232,190	234,272	239,171	219,915	231,028	223,239	210,923	225,788	210,891	237,414	233,576	2,723,234
4160 Misc. Income	49,677	46,267	51,582	50,579	47,416	45,137	45,701	48,858	44,890	50,089	45,977	51,247	577,421
4170 Payroll - Management	33,327	33,232	37,363	33,439	35,473	33,996	34,375	35,819	37,966	35,666	35,488	36,848	422,991
4180 Payroll - Leasing	15,445	16,519	17,319	16,386	16,027	16,993	16,157	15,188	16,715	15,727	16,298	17,214	195,986
4190 Payroll - Maintenance	7,297	7,199	8,195	8,166	7,526	7,760	7,278	7,189	7,178	8,169	7,242	7,736	90,935
4200 Payroll Taxes & Benefits	29,249	29,018	29,365	29,022	26,635	28,597	28,289	27,575	29,491	26,671	28,950	27,527	340,390
4210 Repairs - Plumbing	18,793	18,209	17,478	17,494	17,190	18,231	16,531	16,809	16,919	18,270	16,852	16,718	209,495
4220 Repairs - HVAC	13,998	13,740	14,037	14,233	12,920	14,080	12,692	14,393	14,042	13,280	13,760	12,747	163,921
4230 Repairs - Electrical	36,625	38,368	34,464	37,535	33,730	35,552	38,051	37,134	34,649	35,163	38,495	37,217	436,983
4240 Repairs - Appliances	36,258	35,843	35,530	34,994	35,921	34,135	35,897	36,757	36,644	34,576	35,663	34,999	427,216
4250 Painting & Decorating	24,691	23,736	24,849	22,554	25,565	24,524	24,786	22,911	22,886	23,225	25,314	25,221	290,262
4260 Flooring	40,653	40,789	38,499	37,891	37,203	39,889	38,681	39,387	37,960	41,495	38,217	40,324	470,989
4270 Make-Ready / Turnover	21,828	22,510	22,921	21,194	22,583	20,994	21,050	21,183	22,023	23,701	22,306	21,049	263,341
4280 Landscaping Contract	17,124	17,234	15,447	15,082	17,084	16,934	16,136	16,523	15,290	16,234	17,092	16,799	196,979
4290 Snow Removal	7,985	8,465	8,815	8,567	8,387	8,130	8,771	8,162	8,972	8,124	8,451	8,610	101,439
4300 Janitorial	32,535	34,233	31,958	36,199	36,513	33,400	35,599	32,506	33,302	33,646	33,881	33,421	407,192
4310 Pest Control	23,195	23,702	22,120	22,474	22,037	20,842	22,834	23,157	20,715	22,027	21,122	23,334	267,558
4320 Trash Removal	27,575	29,602	28,838	28,532	30,310	29,854	27,228	27,425	28,716	26,740	28,705	26,993	340,519
4330 Elevator Contract	41,595	40,562	39,814	40,363	41,986	39,510	38,118	37,418	38,075	42,053	39,096	37,432	476,022
4340 Fire & Life Safety	38,138	35,160	37,268	38,407	38,379	36,013	36,355	34,708	37,143	37,533	35,573	35,852	440,527
4350 Security	40,719	39,034	38,053	40,125	37,824	36,801	37,541	37,531	38,529	36,053	37,528	41,083	460,822
4360 Electricity - Common	9,274	9,062	10,047	9,488	9,237	10,103	10,036	8,962	9,674	9,806	9,041	10,095	114,825
4370 Gas - Common	23,851	21,506	22,010	21,766	23,747	22,991	22,143	22,890	24,054	21,745	21,623	21,997	270,323
4380 Water & Sewer	27,394	28,392	27,735	27,984	31,286	28,445	30,295	30,483	29,398	27,413	27,593	28,903	345,322
4390 Telephone/Internet	16,311	15,789	17,120	16,960	16,038	15,439	17,653	15,643	16,069	15,377	15,582	15,607	193,587
4400 Advertising	4,831	4,569	4,631	4,845	4,652	5,090	4,861	5,090	4,786	4,770	4,884	5,121	58,132
4410 Resident Events	38,373	37,159	38,265	36,321	39,231	36,792	37,823	39,034	35,615	36,353	39,267	35,654	449,888
4420 Office Supplies	14,817	15,015	15,139	16,261	14,559	16,325	15,384	16,083	16,037	15,428	16,572	15,960	187,579
4430 Legal & Professional	27,346	27,359	26,308	26,993	25,817	25,829	25,998	26,947	29,073	27,862	27,566	28,771	325,869
4440 Accounting & Audit	42,853	42,914	40,140	38,256	38,558	38,227	39,293	39,182	37,628	41,032	40,574	40,589	479,245
4450 Licenses & Permits	13,553	12,413	12,833	12,978	13,517	13,733	12,873	13,145	12,497	12,277	12,753	12,499	155,072
4460 Management Fee	4,067	3,907	4,173	4,177	3,900	3,865	4,205	3,852	4,121	3,771	3,686	4,218	47,942
4470 Property Insurance	15,732	16,548	15,978	14,709	16,050	15,254	15,616	14,972	15,544	14,933	16,115	16,143	187,593
4480 Real Estate Taxes	28,680	32,013	28,277	28,040	29,570	30,990	29,114	31,527	31,124	30,887	30,664	29,872	360,757

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Financial Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. Debt service coverage ratio was 7.81x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $168,000, representing a 5.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Operating expenses totaled $102,000 or approximately 29.74 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 4.8% annually with renewal retention above 89.4%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Collections for the period were 91.1% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Collections for the period were 96.7% of billed charges, with bad debt of 4.3% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day.

Financial Analysis

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $216,000 or approximately 46.22 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $196,000 or approximately 30.16 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $72,000, representing a 10.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.49x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 34 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Collections for the period were 94.9% of billed charges, with bad debt of 6.3% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 39 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Resident turnover has averaged 13.1% annually with renewal retention above 95.0%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Financial Analysis

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4420 Office Supplies	13,695	14,678	14,998	14,001	13,433	14,902	14,195	14,930	13,665	14,831	15,333	15,030	173,690
4430 Legal & Professional	14,727	15,652	14,456	15,343	14,310	14,880	15,728	15,012	15,007	14,896	15,105	15,354	180,469
4440 Accounting & Audit	37,594	38,977	38,345	38,278	41,296	36,412	40,754	41,292	39,390	40,435	39,096	41,129	472,998
4450 Licenses & Permits	23,374	23,301	23,510	22,932	23,945	22,388	22,343	24,671	24,990	22,747	24,554	25,494	284,249
4460 Management Fee	37,100	38,803	36,831	37,323	37,209	38,074	34,322	36,967	37,427	34,299	35,237	34,384	437,976
4470 Property Insurance	18,203	17,399	17,762	17,580	18,640	16,436	18,102	16,526	18,613	16,515	16,765	17,428	209,969
4480 Real Estate Taxes	13,849	13,035	14,045	13,659	14,198	13,885	14,333	13,975	14,610	13,693	14,176	14,838	168,294
4490 Asset Management Fee	40,153	37,505	39,514	35,521	38,750	39,219	38,518	36,695	39,607	37,009	35,986	35,399	453,876
4500 Replacement Reserves	24,823	25,902	24,477	24,768	25,120	23,400	24,470	24,145	26,128	24,530	25,221	23,246	296,229
4510 Roof Repairs	31,449	33,363	33,549	31,413	32,507	31,363	34,785	34,616	34,236	35,199	32,123	32,965	397,568
4520 Parking Lot Repairs	20,275	18,184	18,555	20,020	18,861	18,774	18,861	18,297	19,377	19,675	19,678	18,760	229,317
4530 Signage	13,591	14,680	13,391	14,227	14,950	14,178	14,353	13,660	14,534	13,712	13,671	13,398	168,346
4540 Tenant Improvements	38,632	41,228	41,803	41,540	40,830	38,749	37,835	40,592	38,357	39,691	37,331	41,076	477,663
4550 Leasing Commissions	31,965	32,513	33,111	33,592	35,462	34,436	34,034	34,509	31,722	35,311	32,799	34,821	404,276
4000 Gross Potential Rent	358,635	358,923	345,598	327,182	341,058	347,776	349,303	356,441	321,912	343,936	334,904	347,682	4,133,348
4010 Loss to Lease	287,084	263,417	284,438	281,830	274,183	261,558	272,231	287,204	261,414	264,171	287,240	257,384	3,282,156
4020 Vacancy Loss	155,475	159,591	166,851	156,512	168,697	157,330	163,510	165,151	153,127	161,452	158,397	159,420	1,925,514
4030 Concessions	142,379	142,711	153,164	144,486	143,269	148,753	147,894	146,566	143,517	155,707	162,603	146,524	1,777,573
4040 Bad Debt	47,551	45,118	46,498	42,832	44,702	43,582	44,637	45,062	46,275	47,069	46,365	44,983	544,674
4050 Late Fees	236,219	247,423	251,570	234,563	231,657	239,978	247,322	256,938	259,590	255,076	233,358	231,814	2,925,507
4060 Utility Reimbursements	6,236	6,273	5,959	5,906	6,297	6,245	5,979	5,798	5,809	5,877	6,363	6,596	73,338
4070 Parking Income	125,759	122,812	137,540	126,098	124,628	136,282	130,469	123,953	138,008	123,984	129,715	139,399	1,558,648
4080 Application Fees	109,740	115,677	110,040	117,098	108,538	110,905	115,475	107,588	105,833	110,180	119,137	107,281	1,337,491
4090 Pet Rent	50,500	49,592	54,694	55,090	54,206	54,223	50,105	51,500	50,752	50,053	50,110	54,263	625,088
4100 Laundry Income	272,421	271,745	301,095	280,232	286,326	304,256	284,048	279,215	278,329	290,727	289,662	270,577	3,408,634
4110 Cable/Internet Revenue	171,490	165,005	172,817	162,106	160,163	152,599	169,232	170,920	169,680	174,006	161,515	165,483	1,995,017
4120 CAM Reimbursements	57,665	55,213	60,560	60,076	60,912	59,545	54,854	55,948	59,116	55,288	61,467	61,100	701,745
4130 Tax Reimbursements	83,897	85,754	88,567	92,020	84,780	86,501	81,686	87,836	88,590	89,447	83,680	88,062	1,040,822
4140 Insurance Reimbursemen	188,796	208,412	192,646	213,322	198,264	196,127	208,560	196,417	196,790	206,877	211,403	201,255	2,418,870
4150 Percentage Rent	61,453	63,281	67,731	64,558	68,100	67,349	61,830	62,817	61,957	65,423	61,393	67,202	773,093
4160 Misc. Income	58,431	58,558	54,227	59,804	55,973	54,763	54,831	56,414	59,181	53,455	54,922	59,579	680,139
4170 Payroll - Management	35,642	32,148	32,667	34,813	36,062	34,019	35,030	32,670	35,468	31,905	33,015	32,926	406,365
4180 Payroll - Leasing	37,185	38,133	37,087	38,533	36,179	36,778	34,954	39,639	38,204	38,494	39,621	35,107	449,914
4190 Payroll - Maintenance	35,251	35,171	33,355	36,609	34,733	32,590	33,820	37,083	34,836	35,518	34,267	35,384	418,618
4200 Payroll Taxes & Benefits	32,018	29,995	32,437	30,481	31,757	28,448	28,757	32,465	28,926	30,041	29,658	30,091	365,075
4210 Repairs - Plumbing	28,246	27,027	29,360	29,597	30,362	27,287	27,353	27,934	30,556	28,777	29,300	29,071	344,870
4220 Repairs - HVAC	13,051	14,528	14,382	13,394	14,475	12,947	12,930	14,228	14,357	14,733	14,654	14,785	168,463
4230 Repairs - Electrical	28,834	31,165	29,271	31,422	31,152	30,760	29,160	32,398	32,566	29,902	31,070	30,363	368,064
4240 Repairs - Appliances	18,432	18,833	20,538	19,586	18,303	18,514	18,126	20,632	20,763	20,715	19,322	18,438	232,203
4250 Painting & Decorating	24,984	25,673	25,056	25,038	25,400	25,973	24,593	24,755	24,745	24,392	24,326	24,023	298,958
4260 Flooring	14,967	14,141	14,377	14,976	14,158	15,059	15,051	15,634	13,991	14,958	14,955	14,950	177,218
4270 Make-Ready / Turnover	25,531	26,050	27,432	26,439	24,492	25,871	25,137	27,319	26,875	26,785	27,166	26,496	315,593
4280 Landscaping Contract	5,472	5,290	5,752	5,695	5,819	5,208	5,347	5,614	5,350	5,654	5,263	5,546	66,012
4290 Snow Removal	29,523	30,803	30,325	28,477	32,288	28,540	28,368	29,464	30,228	28,674	28,655	29,884	355,229
4300 Janitorial	22,112	23,538	22,246	21,971	22,444	23,380	24,701	24,467	24,179	24,499	23,414	24,325	281,276
4310 Pest Control	8,415	8,726	8,324	7,924	8,998	8,416	8,883	8,114	8,887	8,700	8,165	8,235	101,787

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Summary and Notes

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 6.22x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $413,000, representing a 10.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.64x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 13.6% annually with renewal retention above 93.3%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 17 hours.

Resident turnover has averaged 9.6% annually with renewal retention above 90.2%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.5% of billed charges, with bad debt of 7.5% of gross potential income. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

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